

Sandisk

LTAs Structurally Reset Margin Profile And Dampen Cyclicity; LT Financial Model Drives Solid Double-Digits % EPS Growth And Strong FCF; Moving to an OW Rating from NR

Following a period of restriction on Sandisk (SNDK), we are moving to an OW rating (from Not Rated) and a December 2027 price target of \$2,250 (~47% upside from current levels) coming out of the company's 2026 Investor Day held in New York yesterday. In our view, SNDK is in many respects uniquely positioned to capture the ongoing structural inflection in NAND demand driven by rapid growth in AI inference, with three key dynamics underpinning our OW thesis: 1) the New Business Model (NBM) framework (or LTAs - long-term agreements) has structurally reset SNDK's margin profile higher and materially reduced cyclicity, with 8 signed NBMs representing ~\$94B in total contract value at floor pricing, weighted-average contract duration of 4+ years, and ~80% GM even at the floor pricing tier; 2) NAND market TAM is inflecting from ~\$70B in CY25 (JPMe) to \$300B+ in CY26 and ~\$500B in CY27, with Data Center representing the largest driver of growth (by far) as hyperscale/cloud customers increasingly deploy flash for inference-era workloads (incl. persistent KV cache - a major driver of bit demand growth); and 3) SNDK is delivering technology leadership, with BiCS10 sampling ahead of schedule (332-layer 2Tb QLC with 65% more bits per wafer than BiCS8), a projected 27% CAGR in per-wafer bit productivity through BiCS generations, and High Bandwidth Flash (HBF) emerging as a differentiated inference-era memory platform. Mgmt introduced a long-term financial model for FY28-FY30 targeting mid-/high-teens% revenue growth (in-line with bit growth - implying ~flat pricing was conservatively assumed), ~80% GM, ~75% OpM, and ~50% adjusted FCF margin, representing a clear step-change from historical norms where GMs oscillated well below this level. To us this screens as a substantive reset rather than peak-cycle pricing capture, with NBMs accounting for >50% of FY27 bits and growing to ~2/3 in FY28, and contracts detailing month-by-month volume, mix, and price commitments backed by \$16.5B in financial guarantees, significantly improving forward visibility from the "three months of pricing visibility" that has been "standard operating procedure" for the industry, to 4+ years of committed economics with strategic customers. Even at floor pricing, we think NBMs sustain ~80% GMs across the multi-year contract lives, with upside captured through variable pricing mechanisms. We also view the LT financial model as embedding meaningful earnings leverage that we think is not fully captured in current consensus estimates as mid-/high-teens% revenue growth ultimately translates into an EPS growth CAGR north of 25%. Layered on top, mgmt's commitment to returning 100% of excess cash flow to shareholders should drive an aggressive share count reduction trajectory that further amplifies EPS growth on a per-share basis. We think this combination of higher through-cycle profitability, sustained bit demand growth, and share count reduction sets up a compounding earnings power dynamic that supports our CY27 EPS estimate of \$250 and, in our view, points to a multi-year path toward meaningfully higher EPS levels beyond CY27. Longer-term, we view HBF and emerging 3D Matrix Memory technology as meaningful virtual call options on inference-era memory architecture that, in our view, are not fully reflected in current consensus estimates or valuation. We move to an OW rating and see ~47% upside in the stock from

Overweight

SNDK, SNDK US
Price (13 Aug 26):\$1,528.11
Price Target (Dec-27):\$2,250.00

Semiconductors & Semiconductor Capital Equipment / IT Hardware

Harlan Sur ^{AC}
(1-415) 315-6700
harlan.sur@jpmorgan.com
Mayur Ramdhani
(1-212) 622-1664
mayur.ramdhani@jpmorgan.com
Apoorva Kumar
(1-212) 270-0668
apoorva.kumar@jpmorgan.com
J.P. Morgan Securities LLC

Quarterly Forecasts (FYE Jun)

Adj. EPS (\$)	2026A	2027E	2028E
Q1	1.22	46.60	64.63
Q2	6.20	53.22	67.25
Q3	23.41	56.54	67.69
Q4	39.25	61.31	67.80
FY	70.07	217.67	267.36

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	40	63	4		
Growth	17	62	32		
Momentum	1	1	16		
Quality	12	74	42	96	89
Low Vol	94	91	85		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

Price Performance



Company Data

Shares O/S (mn)	157
52-week range (\$)	2,354.39-42.82
Market cap (\$ mn)	239,913.30
Exchange rate	1.00
Free float (%)	98.7%
3M ADV (mn)	13.42
3M ADV (\$ mn)	21,287.3
Volatility (90 Day)	129
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	26/4/0

Key Metrics (FYE Jun)

\$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	20,248	48,646	57,536
Adj. EBIT	12,700	38,866	45,300
Adj. EBITDA	12,408	38,622	45,056
Adj. net income	10,985	33,103	38,572
Adj. EPS	70.07	217.67	267.36
BBG EPS	65.92	211.05	258.66
Cashflow from operations	11,671	29,374	37,355
FCFF	11,522	27,866	34,417
Margins and Growth			
Revenue Growth Y/Y (%)	175.3%	140.3%	18.3%
EBIT margin	62.7%	79.9%	78.7%
EBIT Growth Y/Y (%)	1743.3%	206.0%	16.6%
EBITDA margin	61.3%	79.4%	78.3%
EBITDA Growth Y/Y (%)	(1011.7%)	211.3%	16.7%
Net margin	54.3%	68.0%	67.0%
Adj. EPS growth	2196.9%	210.6%	22.8%
Ratios			
Adj. tax rate	13.0%	14.9%	14.9%
Interest cover	4,136.0	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	88.0%	186.3%	196.6%
Valuation			
FCFF yield	4.8%	12.0%	15.6%
Dividend yield	-	-	-
EV/Revenue	11.6	4.8	4.1
EV/EBITDA	19.0	6.1	5.3
Adj. P/E	21.8	7.0	5.7

Summary Investment Thesis and Valuation

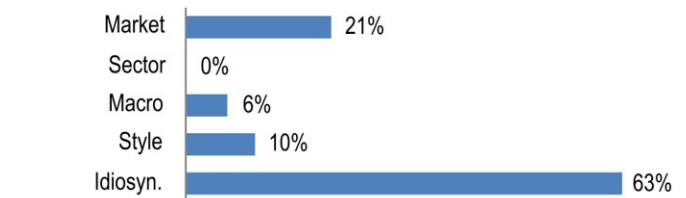
Investment Thesis

Sandisk's "New Business Model" long-term agreements have structurally reset its margin profile higher and materially reduced cyclicality by converting the majority of its business into long-dated, high-margin, take-or-pay-style revenue, while a structural inflection in NAND demand (driven by AI inference reshaping data center storage) and technology leadership across its BiCS roadmap and emerging High Bandwidth Flash platform underpin a step-change in through-cycle profitability. This combination of durable margins, sustained bit demand growth, and a commitment to returning excess cash to shareholders sets up a compounding earnings power dynamic that points to a multi-year path of meaningfully higher earnings power.

Valuation

Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.50	0.47
Sect: Technology	-0.08	0.00
Ind: Tech Hard Equip	-0.22	-0.15
Macro:		
Economic Surprise	0.08	-0.16
Credit Spread	0.20	0.16
US 10yr yield	-0.09	-0.16
Quant Styles:		
Momentum	0.39	0.35
Size	0.26	0.20
DivYld	0.00	-0.14

current levels. Our Dec-27 price target of \$2,250 assumes SNDK trades at 9x (mid-point of the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

- **NBMs structurally reset margin profile higher and materially reduce cyclicality; 8 signed customers with ~\$94B TCV at floor pricing and ~80% GM economics.** SNDK's NBM framework, in our view, signifies a major structural change to the flash industry business model. Under NBMs, SNDK signs multi-year, qtr-by-qtr volume and pricing commitments with its most strategic DC and edge customers, with fixed and variable pricing components, floor and ceiling guardrails, financial guarantees to align interests, and detailed month-by-month volume/mix commitments. Since initially announcing five NBMs in April, SNDK has signed three additional NBMs with new customers and expanded two existing NBMs (with those two customers increasing their commitments within a quarter of initial signing) - strong validation that customer demand is running ahead of prior commitments. Financial guarantees amounting to \$16.5B serve as protection for SNDK if a customer fails to satisfy its purchase obligations. Critically, we think the ~80% GM economics at floor pricing represents a structural shift rather than the capture of peak-cycle pricing. We expect variable pricing to trend above the floor across most of the contract life given current supply/demand dynamics, providing an upside lever to margin targets. NBM share of SNDK's bits is expected to grow from >50% in FY27 to ~2/3 in FY28, and we view this as effectively converting the majority of SNDK's business from spot-priced commodity flash into a long-dated, high-margin, take-or-pay-style revenue stream. In our view, this transition dramatically compresses cyclical volatility relative to the historical "three months of pricing visibility" that produced boom-bust cycles (such as FY23). Going forward, mgmt has stated it will remain highly selective in evaluating additional NBMs, which we think is an appropriate posture given the meaningful share of supply now spoken for, enabling SNDK to preserve optionality for spot-market upside on the non-NBM bit base.
- **NAND TAM inflecting from ~\$70B in CY25 to \$300B+ in CY26 and ~\$500B in CY27, driven by data center as AI inference workloads reshape storage requirements.** The NAND market is undergoing what we think is a structural inflection driven by AI infrastructure investment, with a TAM that is expected to grow from ~\$70B in CY25 (JPMe) to >\$300B in CY26 and approaching \$500B in CY27 (per SNDK estimates, which align closely with JPMe - see [here](#)). Data center is the key driver of this growth, shifting from ~30% of TAM in CY25 to ~50% in CY26 and continuing to outpace the overall market in CY27. Underpinning this shift is the emergence of AI inference, which is fundamentally a memory-centric, storage-intensive problem: every AI interaction generates content that must be stored, retrieved, and served at low latency, with persistent KV cache emerging as a critical new NAND workload as models scale to larger context lengths, higher parameter counts, and agentic architectures. Importantly, we think the supply side of the equation is structurally constructive, with industry wafer capacity now ~30% below prior peak and running at ~100% utilization. This means near-term bit growth comes primarily from nodal migrations rather than wafer additions, which structurally supports pricing durability and, we think, extends the current upcycle materially beyond what historical patterns would suggest. On the edge side, we expect unit growth in smartphones and PCs to be >10% in CY26 as demand adjusts to premium mix, before potentially returning to unit growth in CY27 with content per device continuing to expand as on-device AI, richer content, and new form factors drive higher storage requirements. Notably, mgmt indicated bits are expected to remain on allocation beyond CY27 - a data point we think is materially bullish for sustained NAND pricing durability through the remainder of the decade.
- **Technology and product strength across BiCS roadmap, systems capabilities, and emerging HBF platform; BiCS10 sampling ahead of schedule.** On the BiCS roadmap, SNDK introduced BiCS10 (332-layer 2Tb QLC), which mgmt characterized as the world's highest-density memory chip and confirmed is now sampling (a milestone we

think is particularly notable given development is moving ahead of expectations). BiCS10 delivers ~60% memory density improvement, ~100% write/read bandwidth improvement, ~33% interface speed improvement, and ~75% power efficiency improvement vs. BiCS8, and packs 65% more bits per wafer than the prior generation - metrics that in our view cement SNDK's strong competitive positioning relative to peers. In parallel, SNDK has also introduced BiCS9 2Tb QLC, which combines the mature BiCS8 cell array with BiCS10-like CMOS features, delivering higher performance and power efficiency vs. BiCS8 QLC with minimal incremental capex, which we view as a reinforcement of SNDK's industry-leading capital efficiency positioning. Over 5 generations of BiCS technology (BiCS5 through BiCS11), SNDK averages 54% gen-to-gen bit per wafer growth, or a 27% CAGR in per-wafer bit productivity (outpacing the mid-/high-teens% bit growth targeted in the LT model), positioning SNDK to deliver bit growth commitments through technology alone (i.e. no wafer additions), preserving capital and supporting its MSD% capital intensity target. Longer-term, we view HBF (High Bandwidth Flash) as an emerging differentiated inference-era memory architecture that, in our view, is one of the more compelling call options in the memory space. SNDK's own HBF vs. HBM simulations show 8x CapEx efficiency for minimum-config workloads and 2x GPU efficiency at maximum token output - data points we think are compelling enough that we expect meaningful customer engagement to continue building through 2027. The inaugural HBF specification was released last week, with the first HBF memory die taped out and first HBF inference product samples targeted for 2027.

- **Moving to an Overweight rating on Sandisk (from Not Rated) - \$2,250 PT.** Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250, implying ~47% upside from current levels. We move to an Overweight rating (from Not Rated).

Appendix I: Comp and Group Valuation

Figure 1: Sandisk Comp Group

Company Name	Bloomberg Ticker	Currency	JPM Analyst	JPM Rating	YTD Price	Change %	Market Cap (\$ mm)	Sales C26E	Sales C27E	EPS C26E	EPS C27E	P/2026	P/2027	Current P/B(x)
MICRON TECHNOLOGY INC	MU	USD	Harlan Sur	Overweight	\$949.83	232.8%	\$1,072,731	\$ 172,887	\$ 267,361	\$ 103.46	\$ 161.97	9.2x	5.9x	10.6x
SAMSUNG ELECTRONICS CO LTD	005930 KS	KRW	Jay Kwon	Overweight	263000	118.4%	\$1,082,450	729,376,254	976,000,000	48,071	70,440	5.5x	3.7x	3.1x
SK HYNIX INC	000660 KS	KRW	Jay Kwon	Overweight	1572000	141.1%	\$808,427	349,841,146	539,350,578	353,916	470,842	4.4x	3.3x	6.8x
NANYA TECHNOLOGY CORP	2408 TT	NTD	Jay Kwon	Overweight	\$514.00	166.3%	\$55,143	\$ 353,266	\$ 548,196	\$ 64.30	\$ 101.54	8.0x	5.1x	4.9x
Median												6.7x	4.4x	5.9x

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 8/13/2026.

Appendix II: Financial Tables

Figure 2: Sandisk Income Statement

Sandisk Income Statement (\$MM except as indicated - June year end)	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
Net revenue	1,883	1,876	1,695	1,901	2,308	3,025	5,950	8,965	10,650	11,966	12,569	13,461	14,072	14,494	14,488	14,482
% Growth, y/y	22.8%	12.7%	-0.6%	8.0%	22.6%	61.2%	251.0%	371.6%	361.5%	295.6%	111.2%	50.2%	32.1%	21.1%	15.3%	7.6%
% Growth, q/q	7.0%	-0.4%	-9.6%	12.2%	21.4%	31.1%	96.7%	50.7%	18.8%	12.4%	5.0%	7.1%	4.5%	3.0%	0.0%	0.0%
Non-GAAP COGS	1,151	1,267	1,310	1,399	1,617	1,479	1,284	1,377	1,636	1,855	1,988	2,149	2,314	2,431	2,504	2,631
% of Sales	61%	68%	77%	74%	70%	49%	22%	15%	15%	16%	16%	16%	16%	17%	17%	18%
Stock based compensation	(6)	(3)	(3)	(4)	(4)	(5)	(4)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)
Total cost of revenue (GAAP)	1,157	1,270	1,313	1,403	1,621	1,484	1,288	1,383	1,642	1,861	1,994	2,156	2,320	2,437	2,510	2,637
GAAP gross profit	726	606	382	498	687	1,541	4,662	7,582	9,009	10,104	10,575	11,306	11,752	12,057	11,978	11,845
GAAP gross margin	38.6%	32.3%	22.5%	26.2%	29.8%	50.9%	78.4%	84.6%	84.6%	84.4%	84.1%	84.0%	83.5%	83.2%	82.7%	81.8%
Non-GAAP gross profit	732	609	385	502	691	1,546	4,666	7,588	9,015	10,110	10,581	11,312	11,758	12,063	11,984	11,851
Non-GAAP gross margin	38.9%	32.5%	22.7%	26.4%	29.9%	51.1%	78.4%	84.6%	84.6%	84.5%	84.2%	84.0%	83.6%	83.2%	82.7%	81.8%
Operating expenses:																
Research and development	283	279	285	285	316	327	337	348	368	373	376	383	390	397	404	411
% Growth, y/y	17.9%	13.4%	2.9%	-4.4%	11.7%	17.2%	18.2%	22.1%	16.5%	14.1%	11.6%	10.1%	6.0%	6.4%	7.4%	7.3%
% Growth, q/q	-5.0%	-1.4%	2.2%	0.0%	10.9%	3.5%	3.1%	3.3%	5.7%	1.4%	0.8%	1.9%	1.8%	1.8%	1.8%	1.7%
% of Sales	15.0%	14.9%	16.8%	15.0%	13.7%	10.8%	5.7%	3.9%	3.5%	3.1%	3.0%	2.8%	2.8%	2.7%	2.8%	2.8%
Sales and marketing	130	142	139	162	179	139	161	197	217	222	225	232	239	246	253	260
% Growth, y/y	10.2%	25.7%	29.9%	38.5%	37.7%	-2.1%	15.8%	21.6%	21.2%	59.7%	39.8%	17.8%	10.1%	10.8%	12.4%	12.1%
% Growth, q/q	11.1%	9.2%	-2.1%	16.5%	10.5%	-22.3%	15.8%	22.4%	10.2%	2.3%	1.4%	3.1%	3.0%	2.9%	2.8%	2.8%
% of Sales	6.9%	7.6%	8.2%	8.5%	7.8%	4.6%	2.7%	2.2%	2.0%	1.9%	1.8%	1.7%	1.7%	1.7%	1.7%	1.8%
Restructuring and other costs, net																
Other opex items	22	(10)	1,839	33	16	10	7	0								
Amortization of intangibles & write-offs	0	0	0	0	0	0	46	0								
GAAP total operating expenses	435	411	2,263	480	511	476	551	545	585	595	601	615	629	643	657	671
% of Sales	23%	22%	134%	25%	22%	16%	9%	6%	5%	5%	5%	5%	4%	4%	5%	5%
GAAP operating income (loss)	291	195	(1,881)	18	176	1,065	4,111	7,037	8,424	9,509	9,974	10,691	11,123	11,414	11,321	11,174
Operating margin	15.5%	10.4%	-111.0%	0.9%	7.6%	35.2%	69.1%	78.5%	79.1%	79.5%	79.4%	79.4%	79.0%	78.8%	78.1%	77.2%
Stock comp embedded in opex	(35)	(45)	(41)	(45)	(49)	(53)	(50)	(61)	(61)	(61)	(61)	(61)	(61)	(61)	(61)	(61)
Other	(22)	10	(1,839)	(33)	(16)	(10)	(53)	0	0	0	0	0	0	0	0	0
Non-GAAP operating expenses	378	376	383	402	446	413	448	484	524	534	540	554	568	582	596	610
% Growth, y/y	21.2%	19.0%	9.1%	4.1%	18.0%	9.8%	17.0%	20.4%	17.5%	29.3%	20.5%	14.5%	8.4%	9.0%	10.4%	10.1%
% Growth, q/q	-2.1%	-0.5%	1.9%	5.0%	10.9%	-7.4%	8.5%	8.0%	8.3%	1.9%	1.1%	2.6%	2.5%	2.5%	2.4%	2.3%
% of Sales	20.1%	20.0%	22.6%	21.1%	19.3%	13.7%	7.5%	5.4%	4.9%	4.5%	4.3%	4.1%	4.0%	4.0%	4.1%	4.2%
Non-GAAP operating income (loss)	354	233	2	100	245	1,133	4,218	7,104	8,491	9,576	10,041	10,758	11,190	11,481	11,388	11,241
Non-GAAP operating margin	18.8%	12.4%	0.1%	5.3%	10.6%	37.5%	70.9%	79.2%	79.7%	80.0%	79.9%	79.9%	79.5%	79.2%	78.6%	77.6%
Equity income from joint ventures																
Interest income	3	2	6	11	16	12	12	30	20	20	20	20	20	20	20	20
Interest expense	(2)	(4)	(16)	(41)	(40)	(25)	(6)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)	(2)
Interest and other non-GAAP adjustments		(4)	(2)	(1)	10	94	1	(804)								
Other income (expense)	(25)	(20)	(10)	(6)	(28)	(115)	(10)	784	(10)	(10)	(10)	(10)	(10)	(10)	(10)	(10)
Interest and other expense, net	(24)	(22)	(20)	(36)	(52)	(128)	(4)	812	8	8	8	8	8	8	8	8
Non-GAAP interest and other expense, net	(24)	(26)	(22)	(37)	(42)	(34)	(3)	8	8	8	8	8	8	8	8	8
GAAP Income (loss) before income taxes	267	173	(1,901)	(18)	124	937	4,107	7,849	8,432	9,517	9,982	10,699	11,131	11,422	11,329	11,182
Tax rate	21.0%	39.9%	-1.7%	-27.8%	9.7%	14.3%	12.0%	12.1%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
Income taxes	56	69	32	5	12	134	492	946	1,265	1,428	1,497	1,605	1,670	1,713	1,699	1,677
Non-GAAP income tax adjustment	(40)	(9)	16	10	(2)	48	4									
GAAP net income (loss) from cont.ops.	211	104	(1,933)	(23)	112	803	3,615	6,903	7,167	8,090	8,485	9,094	9,461	9,709	9,629	9,505
Other non-GAAP adjustments	11															
Non-GAAP net income	263	178	(43)	42	181	967	3,675	6,162	7,234	8,157	8,552	9,161	9,528	9,776	9,696	9,572
GAAP Basic EPS	1.47	0.72	(13.33)	(0.16)	0.77	5.46	24.43	46.96	49.34	56.46	60.07	65.23	68.84	71.72	72.26	72.45
GAAP Diluted EPS	1.47	0.72	(13.38)	(0.16)	0.75	5.15	23.03	43.97	46.17	52.78	56.10	60.86	64.17	66.79	67.22	67.32
Pro Forma Basic EPS	1.83	1.24	(0.30)	0.29	1.24	6.58	24.83	41.92	49.81	56.93	60.54	65.71	69.33	72.22	72.77	72.97
Pro Forma Diluted EPS	1.83	1.24	(0.30)	0.29	1.22	6.20	23.41	39.25	46.60	53.22	56.54	61.31	64.63	67.25	67.69	67.80

Source: Company reports and J.P. Morgan estimates.

Figure 3: Sandisk Balance Sheet

<i>Sandisk Balance Sheet (\$MM except as indicated - June year end)</i>	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
ASSETS																
Current assets:																
Cash and cash equivalents	322	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220
Short term investments																
Total cash & ST investments	322	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220
Accounts receivable, net	1,037	904	979	1,068	1,193	1,239	2,726	4,708	5,593	6,284	6,601	7,069	7,390	7,611	7,608	7,605
Inventories	2,069	2,172	2,160	2,079	1,907	1,970	2,238	2,698	3,427	3,887	4,163	4,503	4,847	5,092	5,246	5,511
Income tax receivable	7	8	53	66	72	45	81	22	22	22	22	22	22	22	22	22
Notes Due from Parent	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Deferred tax assets, net																
Net Investment in lease receivable																
Other current assets	953	568	391	392	370	357	388	590	590	590	590	590	590	590	590	590
Total current assets	4,388	4,456	5,090	5,086	4,984	5,150	9,168	12,780	14,767	16,062	16,504	17,134	17,358	17,387	17,122	16,948
Property and equipment, net	552	579	603	619	630	631	649	674	674	674	674	674	674	674	674	674
Investment in FlashVision / Flash Partners / Flash AI	1,066	871	662	654	602	677	684	678	678	678	678	678	678	678	678	678
Goodwill and Intangibles	6,932	6,825	4,997	4,999	4,998	4,995	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994	4,994
Deferred tax assets	56	96	51	58	57	62	87	66	66	66	66	66	66	66	66	66
Income tax receivable	12	13	79	80	61	98	134	169	169	169	169	169	169	169	169	169
Other non-current assets	884	1,394	1,478	1,489	1,417	1,385	1,359	3,146	3,146	3,146	3,146	3,146	3,146	3,146	3,146	3,146
Total assets	13,890	14,234	12,960	12,985	12,749	12,998	17,075	22,507	24,494	25,789	26,231	26,861	27,085	27,114	26,849	26,675
LIABILITIES & SHAREHOLDER'S EQUITY																
Current liabilities:																
Accounts payable	297	320	363	366	398	436	416	516	613	695	744	804	866	909	937	984
Accounts payable to related parties	352	369	395	400	486	433	435	460	460	460	460	460	460	460	460	460
Accrued expenses	236	438	446	425	382	393	383	313	313	313	313	313	313	313	313	313
Income taxes payable	12	5	37	43	22	99	31	1,286	1,286	1,286	1,286	1,286	1,286	1,286	1,286	1,286
Accrued compensation	169	188	114	173	208	273	329	657	657	657	657	657	657	657	657	657
Notes due to Parent	296	553	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Liabilities held for sale and other	110	0	0	0	0	0	323	2,349	2,349	2,349	2,349	2,349	2,349	2,349	2,349	2,349
Current portion of long-term debt			20	20	20	20	0	0	0	0	0	0	0	0	0	0
Total Current Liabilities	1,472	1,873	1,375	1,427	1,516	1,654	1,917	5,581	5,678	5,760	5,809	5,869	5,931	5,974	6,002	6,049
Deferred tax liabilities	18	53	17	17	28	22	17	161	161	161	161	161	161	161	161	161
Long-term debt			1,927	1,829	1,331	583	0	0	0	0	0	0	0	0	0	0
Other liabilities	274	307	480	496	493	526	1,364	1,029	1,029	1,029	1,029	1,029	1,029	1,029	1,029	1,029
Total Liabilities	1,764	2,233	3,799	3,769	3,368	2,785	3,298	6,771	6,868	6,950	6,999	7,059	7,121	7,164	7,192	7,239
Common stock, add'l paid-in capital, accum. Deficit	12,369	12,435	9,467	9,465	9,615	10,468	14,036	15,992	10,648	3,705	(4,454)	(13,045)	(22,411)	(32,201)	(42,190)	(51,983)
Accumulated other comprehensive loss	(243)	(434)	(306)	(249)	(234)	(255)	(259)	(256)	6,978	15,134	23,686	32,847	42,376	52,151	61,848	71,420
Total Equity	12,126	12,001	9,161	9,216	9,381	10,213	13,777	15,736	17,626	18,839	19,232	19,802	19,965	19,950	19,658	19,437
Total Liabilities and Equity	13,890	14,234	12,960	12,985	12,749	12,998	17,075	22,507	24,494	25,789	26,231	26,861	27,085	27,114	26,849	26,675

Source: Company reports and J.P. Morgan estimates.

Figure 4: Sandisk Cash Flow Statement

Sandisk Cash Flow Statement (\$MM except as indicated - June year end)	Sep-24 F1Q25	Dec-24 F2Q25	Mar-25 F3Q25	Jun-25 F4Q25	Sep-25 F1Q26	Dec-25 F2Q26	Mar-26 F3Q26	Jun-26 F4Q26	Sep-26 F1Q27E	Dec-26 F2Q27E	Mar-27 F3Q27E	Jun-27 F4Q27E	Sep-27 F1Q28E	Dec-27 F2Q28E	Mar-28 F3Q28E	Jun-28 F4Q28E
CASH FLOWS FROM OPERATING ACTIVITIES:																
Net cash provided by operating activities:																
Net income	211	104	(1,933)	(23)	112	803	3,615	6,903	7,167	8,090	8,485	9,094	9,461	9,709	9,629	9,505
Depreciation and amortization	54	36	37	36	36	38	38	37	37	37	37	37	37	37	37	37
Stock-based compensation	41	48	44	49	53	58	54	67	67	67	67	67	67	67	67	67
Deferred income taxes	(5)	28	(16)	(19)	3	(13)	(32)	162	0	0	0	0	0	0	0	0
Asset/goodwill impairment	0	1	1,830	0	0	5	0	0	0	0	0	0	0	0	0	0
Gain on disposal of assets	0	(35)	0	0	10	0	1	4	0	0	0	0	0	0	0	0
Unrealized foreign exchange (gain) loss	(8)	3	(1)	(19)	1	19	19	47	0	0	0	0	0	0	0	0
Equity loss in investees, net of dividends received	10	49	0	6	27	19	12	102	0	0	0	0	0	0	0	0
Other non-cash operating activities, net	6	4	17	8	(4)	27	49	(804)	0	0	0	0	0	0	0	0
Settlement of accrued interest on Notes due to Parent	(96)	0	(3)	0	0	0	0	0	0	0	0	0	0	0	0	0
Changes in assets and liabilities:																
Accounts receivable, net	(102)	133	(42)	(89)	(125)	(46)	(1,487)	(1,982)	(885)	(691)	(317)	(469)	(321)	(222)	3	3
Inventories	(149)	(103)	11	81	172	(63)	(268)	(460)	(729)	(460)	(277)	(339)	(344)	(245)	(154)	(265)
Accounts payable	33	24	42	(6)	30	45	(39)	73	97	82	49	60	61	44	27	47
Accounts payable to related parties	39	(93)	26	5	86	(53)	2	25	0	0	0	0	0	0	0	0
Accrued expenses	(172)	185	(10)	10	(43)	5	17	45	0	0	0	0	0	0	0	0
Accrued compensation	(13)	19	(44)	59	35	65	56	304	0	0	0	0	0	0	0	0
Other assets and liabilities, net	20	(308)	68	(4)	95	110	1,001	2,603	0	0	0	0	0	0	0	0
NET CASH PROVIDED BY OPERATING ACTIVITIES	(131)	95	26	94	488	1,019	3,038	7,126	5,754	7,125	8,045	8,450	8,962	9,389	9,610	9,394
CASH FLOWS FROM INVESTING ACTIVITIES:																
Purchases of property, plant and equipment	(67)	(48)	(44)	(45)	(50)	(39)	(45)	(43)	(107)	(299)	(503)	(538)	(704)	(725)	(724)	(724)
Proceeds from the sale of property, plant and equipment	0	0	0	0	25	0	0	0	0	0	0	0	0	0	0	0
Notes receivable issuances to Flash Ventures	(14)	(252)	(8)	(59)	(87)	(169)	(83)	(123)	0	0	0	0	0	0	0	0
Notes receivable proceeds from Flash Ventures	62	120	246	87	97	32	45	13	0	0	0	0	0	0	0	0
Strategic investments and other, net	0	368	210	0	0	11	0	(970)	0	0	0	0	0	0	0	0
NET CASH USED IN INVESTING ACTIVITIES	(19)	188	404	(17)	(15)	(165)	(83)	(1,123)	(107)	(299)	(503)	(538)	(704)	(725)	(724)	(724)
CASH FLOWS FROM FINANCING ACTIVITIES:																
Proceeds from debt issuance	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Repayments of debt	0	0	0	(100)	(500)	(750)	(650)	0	0	0	0	0	0	0	0	0
Proceeds from principal repayments on notes due from Parent	101	449	1,970	0	0	0	0	0	0	0	0	0	0	0	0	0
Repayments of principal on notes due to Parent	(76)	177	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Proceeds from borrowings on notes due to Parent	0	(76)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Origination of notes due from Parent	0	0	(1,656)	0	0	0	0	0	0	0	0	0	0	0	0	0
Transfers from/(to) Parent	189	(420)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Repurchase of common stock	0	0	0	0	0	0	0	(4,524)	(5,274)	(6,682)	(7,693)	(8,090)	(8,699)	(9,103)	(9,301)	(9,106)
Other	0	0	(38)	(2)	(15)	(8)	(102)	(452)	0	0	0	0	0	0	0	0
NET CASH PROVIDED BY (USED IN) FINANCING ACTIVITIES	214	130	276	(102)	(515)	(758)	(752)	(4,976)	(5,274)	(6,682)	(7,693)	(8,090)	(8,699)	(9,103)	(9,301)	(9,106)
Changes in cash and cash equivalents classified as assets held for sale	0	0	0	0	0	0	0	0								
Effect of changes in foreign currency exchange rates on cash	1	(2)	(3)	(1)	3	1	(7)	0								
Change in cash and cash equivalents	65	411	703	(26)	(39)	97	2,196	1,027	373	144	(151)	(178)	(441)	(438)	(415)	(436)
Cash and cash equivalents at beginning of period	328	393	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656
Cash and cash equivalents at end of period	393	804	1,507	1,481	1,442	1,539	3,735	4,762	5,135	5,279	5,128	4,950	4,510	4,072	3,656	3,220

Source: Company reports and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Sandisk (*Overweight; Price Target: \$2,250.00*)

Investment Thesis

Sandisk's "New Business Model" long-term agreements have structurally reset its margin profile higher and materially reduced cyclicalities by converting the majority of its business into long-dated, high-margin, take-or-pay-style revenue, while a structural inflection in NAND demand (driven by AI inference reshaping data center storage) and technology leadership across its BiCS roadmap and emerging High Bandwidth Flash platform underpin a step-change in through-cycle profitability. This combination of durable margins, sustained bit demand growth, and a commitment to returning excess cash to shareholders sets up a compounding earnings power dynamic that points to a multi-year path of meaningfully higher earnings power.

Valuation

Our December 2027 price target of \$2,250 assumes SNDK trades at 9x (within the historical 7-10x forward memory P/E range) applied to our CY27 EPS estimate of \$250.

Risks to Rating and Price Target

AI "bubble" unwinds faster than expected

A sharper slowdown in AI infrastructure capex, project cancellations, or tighter ROI scrutiny could lead to eSSD order cuts and pricing pressure much earlier than our 2028+ normalization timeframe.

Aggressive capacity additions and pricing competition

NAND suppliers may overbuild in response to current margins (or chase share via price), driving ASP compression and margin erosion that is both steeper and sooner than modeled, especially for commodity eSSD.

Macro-driven legacy market downturn

While current attention is focused squarely on AI-driven eSSD demand, ~60-70% of NAND bits still go into smartphones, PCs, and consumer electronics. If a global recession or continued consumer weakness causes a high-single-digit decline in handset/PC units, the industry will be forced to dump excess capacity intended for those markets, dragging down blended ASPs and negating the premium pricing in the data center channel.

Sandisk: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY25A	FY26A	FY27E	FY28E	FY29E		1Q27E	2Q27E	3Q27E	4Q27E	
Revenue	7,355	20,248	48,646	57,536	-	Revenue	10,650	11,966	12,569	13,461	-
COGS	(5,143)	(5,776)	(7,652)	(9,904)	-	COGS	(1,642)	(1,861)	(1,994)	(2,156)	-
Gross profit	2,212	14,472	40,994	47,632	-	Gross profit	9,009	10,104	10,575	11,306	-
SG&A	(573)	(676)	(896)	(998)	-	SG&A	(217)	(222)	(225)	(232)	-
Adj. EBITDA	(1,361)	12,408	38,622	45,056	-	Adj. EBITDA	8,430	9,515	9,980	10,697	-
D&A	-	-	-	-	-	D&A	-	-	-	-	-
Adj. EBIT	689	12,700	38,866	45,300	-	Adj. EBIT	8,491	9,576	10,041	10,758	-
Net Interest	(41)	(3)	72	72	-	Net Interest	18	18	18	18	-
Adj. PBT	569	12,629	38,898	45,332	-	Adj. PBT	8,499	9,584	10,049	10,766	-
Tax	(162)	(1,584)	(5,794)	(6,760)	-	Tax	(1,265)	(1,428)	(1,497)	(1,605)	-
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	-
Adj. Net Income	440	10,985	33,103	38,572	-	Adj. Net Income	7,234	8,157	8,552	9,161	-
Reported EPS	(11.38)	72.93	215.90	265.50	-	Reported EPS	46.17	52.78	56.10	60.86	-
Adj. EPS	3.05	70.07	217.67	267.36	-	Adj. EPS	46.60	53.22	56.54	61.31	-
DPS	-	-	-	-	-	DPS	-	-	-	-	-
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	-
Shares outstanding	144	157	152	144	-	Shares outstanding	155	153	151	149	-
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY25A	FY26A	FY27E	FY28E	FY29E		FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	1,481	4,762	4,950	3,220	-	Gross margin	30.1%	71.5%	84.3%	82.8%	-
Accounts receivable	1,068	4,708	7,069	7,605	-	EBITDA margin	(18.5%)	61.3%	79.4%	78.3%	-
Inventories	2,079	2,698	4,503	5,511	-	EBIT margin	9.4%	62.7%	79.9%	78.7%	-
Other current assets	458	612	612	612	-	Net profit margin	6.0%	54.3%	68.0%	67.0%	-
Current assets	5,086	12,780	17,134	16,948	-	ROE	4.3%	88.0%	186.3%	196.6%	-
PP&E	619	674	674	674	-	ROA	3.3%	61.9%	134.1%	144.1%	-
LT investments	654	678	678	678	-	ROCE	4.6%	82.4%	186.1%	196.5%	-
Other non current assets	6,626	8,375	8,375	8,375	-	SG&A/Sales	7.8%	3.3%	1.8%	1.7%	-
Total assets	12,985	22,507	26,861	26,675	-	Net debt/equity	0.0	NM	NM	NM	-
Short term borrowings	20	0	0	0	-	P/E (x)	500.9	21.8	7.0	5.7	-
Payables	766	976	1,264	1,444	-	P/BV (x)	23.9	15.2	11.7	11.3	-
Other short term liabilities	641	4,605	4,605	4,605	-	EV/EBITDA (x)	NM	19.0	6.1	5.3	-
Current liabilities	1,427	5,581	5,869	6,049	-	Dividend Yield	-	-	-	-	-
Long-term debt	1,829	0	0	0	-	Sales/Assets (x)	0.6	1.1	2.0	2.1	-
Other long term liabilities	513	1,190	1,190	1,190	-	Interest cover (x)	NM	4,136.0	NM	NM	-
Total liabilities	3,769	6,771	7,059	7,239	-	Operating leverage	(3392.9%)	994.5%	146.9%	90.6%	-
Shareholders' equity	9,216	15,736	19,802	19,437	-	Revenue y/y Growth	10.4%	175.3%	140.3%	18.3%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	203.8%(1011.7%)	211.3%	16.7%	-	-
Total liabilities & equity	12,985	22,507	26,861	26,675	-	Tax rate	22.7%	13.0%	14.9%	14.9%	-
BVPS	63.90	100.38	130.20	134.72	-	Adj. Net Income y/y Growth	(195.2%)	2396.6%	201.4%	16.5%	-
y/y Growth	(16.8%)	57.1%	29.7%	3.5%	-	EPS y/y Growth	(195.3%)	2196.9%	210.6%	22.8%	-
Net debt/(cash)	368	(4,762)	(4,950)	(3,220)	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	84	11,671	29,374	37,355	-						
o/w Depreciation & amortization	163	149	148	148	-						
o/w Changes in working capital	(380)	203	(3,878)	(1,365)	-						
Cash flow from investing activities	556	(1,386)	(1,447)	(2,877)	-						
o/w Capital expenditure	(204)	(177)	(1,447)	(2,877)	-						
as % of sales	2.8%	0.9%	3.0%	5.0%	-						
Cash flow from financing activities	518	(7,001)	(27,739)	(36,209)	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	(100)	(1,900)	0	0	-						
Net change in cash	1,153	3,281	188	(1,730)	-						
Adj. Free cash flow to firm	(88)	11,522	27,866	34,417	-						
y/y Growth	(70.0%)	(13149.0%)	141.9%	23.5%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data).Fiscal year ends Jun. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker:** J.P. Morgan Securities LLC makes a market in the securities of Sandisk or related entities.
- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to Sandisk or related entities.
- **Manager or Co-manager:** J.P. Morgan acted as manager or co-manager in a public offering of securities or financial instruments (as such term is defined in Directive 2014/65/EU) of/for Sandisk or related entities within the past 12 months.
- **Beneficial Ownership (1% or more):** J.P. Morgan beneficially owns 1% or more of a class of common equity securities of Sandisk or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Sandisk or related entities.
- **Client/Investment Banking:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as investment banking clients: Sandisk or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Sandisk or related entities.
- **Client/Non-Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-securities-related: Sandisk or related entities.
- **Investment Banking Compensation Received:** J.P. Morgan has received in the past 12 months compensation for investment banking services from Sandisk or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from Sandisk or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Sandisk or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of Sandisk or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Sandisk (SNDK, SNDK US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
08-Dec-25	N	228.47	235
02-Feb-26	NR	576.25	--

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 13, 2003. All share prices are as of market close on the previous business day.
Break in coverage May 13, 2016 - Dec 08, 2025.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Sur, Harlan : Advanced Micro Devices (AMD), Analog Devices (ADI), Applied Materials (AMAT), Arm Holdings Plc (ARM), Astera Labs Inc (ALAB), Broadcom Inc (AVGO), Cadence Design Systems (CDNS), GlobalFoundries (GFS), Intel (INTC), KLA Corporation (KLAC), Lam Research (LRCX), Marvell Technology Inc (MRVL), Microchip Technology (MCHP), Micron Technology (MU), NVIDIA Corporation (NVDA), NXP Semiconductors (NXPI), ON Semiconductor Corporation (ON), Quantinuum (QNT), Sandisk (SNDK), Synopsys Inc (SNPS), Texas Instruments (TXN)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used,

please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the

relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpi.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee

performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P.

Morgan any research material received from J.P. Morgan or an authorized third-party (“J.P. Morgan Data”) in any third-party artificial intelligence (“AI”) systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 13 Aug 2026 10:59 PM EDT

Disseminated 14 Aug 2026 12:00 AM EDT